DEFINITION

A contract granting the buyer the **right (but not the obligation)** to **buy or sell** a specific underlying asset at a predetermined **price** and **time**.

THE PROCESS OF BUYING AN OPTION

1. DECIDES: Call/Put | Strike | Expiry

BUYER → Pays Premium ($5) → **EXCHANGE / CLEARING** → Receives Premium → **SELLER**

Takes Obligation, Gets Premium

Exchange acts as middleman, matching orders and guaranteeing the contract execution.

1. PAYOFF PROFILES: CALL VS PUT

CALL OPTION

Right to BUY

Profit when asset price rises above the strike price.

PUT OPTION

Right to SELL

Profit when asset price falls below the strike price.

2. EXECUTION STYLES (WHEN TO EXERCISE)

European

Exercise **ONLY** at exact expiration date.

American

Exercise at **ANY TIME** up to expiration.

Asian

Payoff based on **AVERAGE** price over time.